

THE GROWTH POWERHOUSE

Tamil Nadu continues to lead with the largest number of factories and manufacturing workers but new contenders, including UP, Haryana and Chhattisgarh, are also coming up

BY SURABHI

WITH COOPERATIVE and competitive federalism at play, states are increasingly vying with each other to attract private investment, especially in manufacturing, to not only boost economic activity but also give jobs to millions.

Over the years, India's manufacturing landscape has shifted as fiscal incentives by some states gradually ended while several other states launched new industrial policies to attract companies.

To understand that, *BT* did a deep dive into data from the Annual Survey of Industries, which is the most comprehensive source on registered manufacturing units, over the last 10 years from FY14 to FY24. The research has revealed some interesting trends.

Tamil Nadu reigns supreme with the highest number of factories and jobs in the sector and comes third in the overall ranking of top manufacturing states. In absolute terms, it remained considerably ahead of its closest competitors, Gujarat and Maharashtra.

The state remains a major hub for automobiles and auto components, textiles, leather, electronics and electronic components and has several urban and manufacturing centres such as Coimbatore, Madurai, Tirupur, Tiruchirappalli and Salem,

REIGNING CHAMPS AND CONTENDERS

India's manufacturing landscape is changing with new states emerging as manufacturing hubs

Tamil Nadu remains the manufacturing powerhouse with the largest number of factories and highest jobs in the sector

UP is the fastest-growing major manufacturing state over the last five years

Chhattisgarh is the fastest-growing emerging state as a manufacturing centre and job creator

With states reworking industrial policies and strategies, more manufacturing centres may arise



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apart from Chennai. It's also the fastest growing major state in exports, registering 75% growth over a seven-year period. Exports totalled \$52.07 billion in FY25. The state's Economic Survey 2024-25 has set a target of making the state a \$1 trillion economy by 2030.

"One of Tamil Nadu's greatest strengths has been its ability to stay a step ahead. Over the decades, successive industrial policies have anticipated where manufacturing was heading and positioned the state accordingly," says S. Keerthana, Minister of Industries, Investment Promotion & Commerce, Tamil Nadu.

The number crunching by *BT* also reveals that over the last five years, Uttar Pradesh has become the fastest growing major state in terms of manufacturing units and jobs created while Haryana is the fastest growing major state in the last decade. Interestingly, Chhattisgarh has come up as the fastest growing emerging state with the sharpest growth in manufacturing units and jobs created.

Each of these states has been carving out a distinct identity in terms of industrial policies. In 2022, UP came out with an Industrial Investment and Employment Policy with a package of incentives and